



Our ref: IM-72752

Land of the Wurundjeri people of the Kulin Nation
Level 17, 2 Lonsdale Street
Melbourne Vic 3000

GPO Box 3131
Canberra ACT 2601

Tel 03 9290 1800

www.accc.gov.au

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Dear Interested Party

Re: Request for submissions: IBM's proposed acquisition of HashiCorp Inc.

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of HashiCorp, Inc. (**HashiCorp**) by International Business Machines Corporation (**IBM**) (the **Proposed Acquisition**).

IBM and HashiCorp offer various software solutions and related services on a global basis including in Australia, and are both active in the supply of IT infrastructure automation software through their products Ansible (IBM) and Terraform (HashiCorp), and in the supply of security software through their products IBM Cloud Secrets Manager, Verify Privilege (IBM) and Vault (HashiCorp).

The ACCC's investigation is focused on the impact on competition in Australia. In particular, we are seeking your views on:

- how closely IBM and HashiCorp compete;
- whether price levels will increase and/or service quality will decrease as a result of the Proposed Acquisition;
- the availability of alternative IT infrastructure automation software (including provisioning and configuration management), and security software, and the likelihood of new entry; and
- whether a combined IBM and HashiCorp would have the ability to foreclose competitors of IBM or HashiCorp.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **4 February 2025** via email to mergers@accc.gov.au with the title: *Submission re: IBM - HashiCorp*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality

Yours sincerely

A handwritten signature in blue ink, appearing to be 'SP', located below the 'Yours sincerely' text.

Simon Pomery
Acting General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

The Proposed Acquisition

IBM proposes to acquire all of the issued share capital of HashiCorp.

IBM

IBM is a publicly listed, US-based global information technology (IT) company. IBM is active in the development, production, and marketing of a wide variety of IT solutions. This includes enterprise IT software and systems (such as servers, storage systems, cloud, and cognitive offerings) and IT implementation services (such as business consulting and IT infrastructure services).

In Australia, IBM offers IT infrastructure automation software through IBM Australia Limited and/or through its wholly-owned subsidiary Red Hat. Red Hat is an enterprise software company with an open source development model which has a number of infrastructure automation solutions.

HashiCorp

HashiCorp is a publicly listed, US-based global software supplier that provides a variety of software products for provisioning, securing and connecting cloud-native infrastructure resources to support development and operations on public clouds, private data centres and hybrid environments (through both an open source and paid model).

HashiCorp offers its software products globally, including in Australia.

Areas of overlap

IBM and HashiCorp are both active in the supply of:

- IT infrastructure automation software through their products Ansible (IBM) and Terraform (HashiCorp); and
- security software through their products IBM Cloud Secrets Manager and Verify Privilege (IBM) and Vault (HashiCorp).

Attachment B – List of questions

1. Provide a brief description of your business or organisation and reasons for your interest in the proposed acquisition, including any commercial relationship(s) with IBM and/or HashiCorp. This will help us better understand your views.

Questions for customers of IBM and/or HashiCorp

2. Describe any IBM or HashiCorp services or products that your organisation uses, what you use it for, and whether it is in relation to a hybrid or multi cloud strategy (if other please specify).
3. Describe how your organisation selects a supplier (or suppliers) for:
 - IT infrastructure automation software (including provisioning and configuration management), and/or
 - security software including secrets management software.

Please identify the key factors considered and whether you would use multiple products for each. For example using different products for cloud infrastructure provisioning vs configuration and the extent to which these products are interchangeable. If you use Terraform, do you also use Ansible (or an equivalent software) and vice versa.

4. Explain the process of switching providers and the ease with which this can be done for IT infrastructure automation software (including provisioning and configuration management) and security software. In your response, please consider the costs, time required and any other challenges involved with switching providers.

Questions for all market participants

5. Describe whether and to what extent IBM and HashiCorp compete in the supply of IT infrastructure automation software (including provisioning and configuration management) and/or security (including secrets management) software. Relevant factors may include technical functionality, scope of offerings, price, security, level of customisation available or customer needs.
6. Identify alternative providers of IT infrastructure automation (including provisioning and configuration management) and/or security (including secrets management) software, and describe:
 - a. how and to what extent these suppliers compete with IBM and HashiCorp;
 - b. whether open source software is a viable alternative for your organisation;
 - c. the cost, availability and importance of support services from the provider;
 - d. how and to what extent software solutions offered by cloud service providers (CSPs) such as Amazon Web Services, Microsoft Azure and Google Cloud Platform compete with IBM and HashiCorp.

Take into account factors such as technical functionality, scope of offerings, price, security, level of customisation available or customer needs.

7. For customers that are currently operating or are wanting to move to a multi cloud solution for their business, describe what IT infrastructure automation software

(including provisioning and configuration management) are available. Explain whether it would be possible to use software solutions offered by the CSPs to do this.

8. Explain whether Ansible, Terraform or Vault are considered 'must have' products within their respective areas, and if so in what circumstances and for what cohort of customers would this be the case.
9. Describe the barriers to entry to creating or sponsoring new software to compete with IBM and/or HashiCorp in IT infrastructure automation software (including provisioning and configuration management), and/or security software (such as secrets management software).
10. Comment on how you expect any industry developments in the next 3 to 5 years to impact competition in IT infrastructure automation software (including provisioning and configuration management), and/or security software (including secrets management software). Consider factors such as the likelihood of new entry, changing customer needs and preferences, any relevant emerging technologies and development of software solutions from the CSPs.
11. Describe how customers and competitors are likely to respond if following the Proposed Acquisition IBM sought to increase prices or lower service quality.
12. In what ways and to what extent, if any, would the proposed acquisition be likely to affect the incentives for IBM to cross-sell or bundle Ansible and Terraform, or Verify Privilege and Vault.

Other information

13. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.